A PRACTICAL GUIDE FOR FIRST-TIME BUYERS

Live In, Rent Smart

The friendly beginner's guide to house hacking

BY JOSH MOORE

LOWER YOUR HOUSING COST. LEARN THE NUMBERS. BUY WITH A PLAN.

Important disclaimer

Use this book to ask better questions.

Use local professionals and current documents to answer them.

House hacking is simple in concept: you live in a property and collect rent from part of it. The details are not simple. Loan rules, zoning, landlord-tenant law, fair housing requirements, insurance, taxes, building codes, and short-term rental rules vary by property and location.

This guide is provided for general educational and informational purposes only. It does not constitute financial, investment, mortgage, tax, legal, insurance, real-estate, or property-management advice. Nothing in this guide is a recommendation to purchase any property or use any financing product, and using it does not create a professional or advisory relationship.

Examples are hypothetical and do not guarantee results. Rates, rents, taxes, costs, laws, market conditions, and loan requirements vary and can change. Independently verify every assumption for the property and location you are considering. Consult appropriately licensed professionals before you sign a contract, advertise a rental, accept money from a resident, or make a financial decision.

The goal is not to make a deal look good. It is to help you find out whether it is good before it becomes your mortgage.

Sources were checked July 15, 2026. Programs and rules can change.

Inside the guide

Your home can help carry its own weight

Most buyers ask, "Can I afford the payment?" A house hacker asks what part of the home could carry some of it.

That second question changes the search. A finished basement matters. So does a side entrance, a second bathroom, off-street parking, sound separation, legal bedroom egress, and a layout that lets two households pass through a Tuesday morning without colliding in the kitchen.

House hacking can reduce your personal housing cost. It can also give you a gentle start in rental ownership because you live close to the property and see problems early. It does not erase risk. A vacant unit, a broken furnace, a late payment, or a bad roommate match lands in your life, not in a spreadsheet.

The best house hack is not the one with the most rent. It is the one you can afford conservatively, manage legally, and live in without counting the days until you can leave.

What counts as house hacking?

You own and occupy a home while renting a separate unit, an accessory dwelling unit, a bedroom, or another permitted part of the property. The rent helps offset the mortgage and operating costs.

Common versions include:

- Buying a duplex, triplex, or fourplex and living in one unit
- Renting one or more bedrooms in a single-family home
- Renting a legal basement apartment or accessory dwelling unit
- Buying a home that needs work, improving it while you live there, and renting the finished space
- Offering a furnished rental when local law, your loan, your insurance, and your schedule allow it

House hacking still comes with a mortgage and a job to do. Rent can arrive late, a unit can sit empty, and local rules still apply. Think of it as a way to combine a place to live with a small rental operation, not as a shortcut to free housing.

Your first return is usually housing cost avoided. That may be more useful than cash in your pocket, but it still needs honest math.

Choose the shape of the deal

Rent bedrooms

Easy to find. Most shared space.

LOW SEPARATION

Buy 2 to 4 units

Clearer boundaries. More systems.

HIGH SEPARATION

Use an ADU

Single-family feel. Verify permits.

MEDIUM SEPARATION

Renovate

Create space. Carry extra risk.

VARIABLE TIMELINE

Furnished stays

More turnover. Keep a lease fallback.

HIGH MANAGEMENT

Choose the tradeoffs you can live with, not the biggest rent estimate.

Rent the spare rooms

Room rental is the most direct version. You buy a house large enough for your own needs, keep one bedroom, and rent the others.

It can work when the home has enough bathrooms, storage, parking, and shared space. A three-bedroom, one-bath house with a narrow driveway may look profitable on paper and feel cramped by the second week.

Questions to answer before you buy:

- Can bedroom doors lock without violating fire or building codes?
- Does every sleeping room meet local light, ventilation, and egress rules?
- Where will each person park, store food, take calls, and do laundry?
- Who pays utilities, and how will you handle a sudden increase?
- Are you comfortable enforcing a late fee or ending a tenancy with someone you see every morning?

> **Example:** Mia buys a three-bedroom home and rents two rooms. She chooses a home with two full bathrooms and a den, even though a smaller house would have been cheaper. The extra separation lowers her projected profit a little. It also makes the arrangement more livable, which may reduce turnover.

Live in one unit, rent the others

A duplex, triplex, or fourplex gives each household a defined home. That boundary solves many of the frictions found in room rentals, but it creates different work.

Look beyond bedroom count. Find out whether units have separate electric meters, independent heating, assigned parking, secure entrances, and adequate trash storage. If utilities are shared, learn whether local rules allow you to bill residents and how the lease must describe the arrangement.

Existing residents can be an asset because rent begins after closing. They can also change the deal. Review every lease, deposit record, payment ledger, notice, utility agreement, and side promise. Do not assume you can raise rent or ask a resident to leave because ownership changed.

> **Example:** Devon compares two duplexes. Property A rents for $150 more per month, but both units share one furnace and one electric meter. Property B has separate systems, off-street parking, and a quieter owner unit. Devon chooses Property B because the operating setup is clearer and the privacy is better.

An ADU, basement, or live-in renovation

A detached cottage, garage apartment, or basement suite can produce rent while preserving more privacy. The words "mother-in-law suite" in a listing do not prove that anyone may legally rent it.

Before you count the rent, confirm:

- The use is permitted under current zoning
- The unit or sleeping area has required permits and approvals
- Emergency escape, smoke and carbon monoxide protection, fire separation, ceiling height, heating, sanitation, and electrical work comply with local rules
- Your lender and insurer accept the intended use
- Parking and utility arrangements are workable

A live-in renovation adds construction risk. Price the project with written contractor scopes and a contingency. Keep enough cash to live through delays. Do not build the deal around rent from a space that cannot be occupied until work and inspections are complete.

Sometimes the best opportunity is not a finished unit. It is a legal path to create one at a price the deal can absorb.

Furnished, medium-term, or short stays

Furnished rentals can serve traveling nurses, relocating workers, families between homes, or vacation guests. They also require furniture, supplies, cleaning, marketing, guest communication, and more frequent turnover.

Short stays may be limited by city or county law, zoning, a permit cap, an HOA, condominium documents, lender terms, or insurance. Rules can change after you buy. Do not use nightly revenue to justify a purchase unless you have verified that the use is legal and you have a long-term fallback.

A useful test is simple:

1. Underwrite the property using an ordinary long-term rent.
2. Treat furnished income above that amount as a possible upside.
3. Add furniture replacement, cleaning, utilities, platform fees, vacancy, licensing, and your time.
4. Ask whether you still want the job if bookings fall during the slowest season.

Higher gross rent is not the same as higher profit. It can simply mean you created a busier business.

Which version fits you?

Room rentals can lower the entry price, but you need to be comfortable sharing your home. A small multifamily property gives everyone more separation, usually in exchange for a larger purchase and more building systems to maintain.

An ADU or basement makes sense when privacy matters and you are willing to prove the space is legal before relying on the income. Renovation suits a buyer with extra cash, patience, and people who can price and complete the work. Furnished stays belong on the list only when they are legal, insurable, realistic to operate, and backed by a long-term rental fallback.

The most important question is not "Which strategy makes the most money?" It is "Which set of tradeoffs can I live with for the next year or longer?"

Privacy, management time, purchase price, and legal complexity all move in different directions. Pick deliberately.

SECTION 2

Make the numbers tell the truth

The math should survive a vacancy, a repair, and a rent estimate that turns out to be too high.

Your payment is not your housing cost

- Mortgage P + I
- Taxes
- Insurance
- Mortgage insurance
- Owner utilities
- Maintenance
- Capital replacements
- Vacancy

TOTAL PROPERTY CASH OUTFLOW | MINUS | COLLECTED RENT | EQUALS | YOUR HOUSING COST

Cash flow first

Principal reduction may build equity, and tax treatment can change the economics. Neither one pays the plumber this Friday. Decide whether the property is safe using cash that actually enters and leaves the account.

Example: Lena's duplex

Fictional teaching example. This is not a current loan quote.

PRICE	DOWN	LOAN	RATE
$350,000	$17,500	$332,500	6.50%*

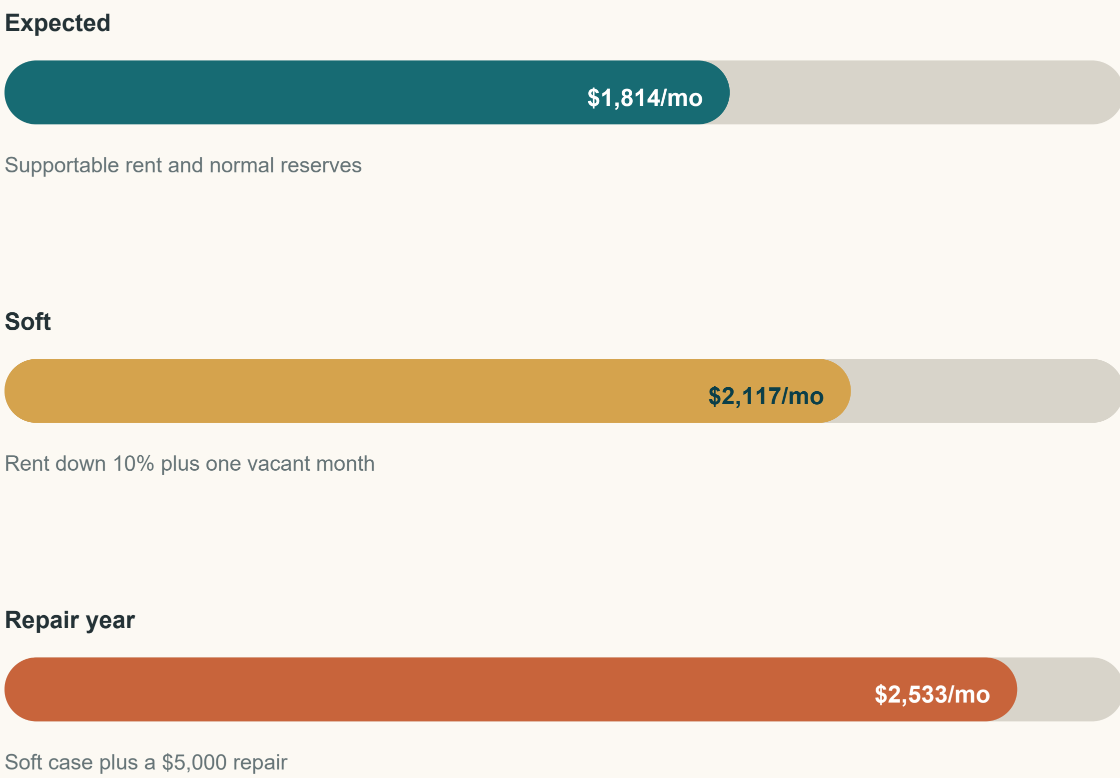
Principal and interest	**$2,102**
Property taxes	**$350**
Insurance	**$150**
Mortgage insurance	**$140**
Owner utilities	**$180**
Maintenance reserve	**$292**
Capital reserve	**$150**
Vacancy allowance	**$100**

PLANNED OUTFLOW	MINUS RENT	LENA'S COST
$3,464	$1,650	$1,814

*Illustrative 30-year fixed loan. Actual terms and costs vary.

Try to break the deal before you buy it

Lena's planned personal housing cost under three cases



The question to answer

Could your income carry about $2,533 for a while without adding credit-card debt? If not, change the price, savings target, rent assumptions, or property.

Cash to close is only the first pile of money

Think about the money in four separate buckets. Keeping them separate makes it harder to spend the repair fund on closing day.

Acquisition

Down payment, lender costs, appraisal, inspections, title or attorney charges, prepaid taxes and insurance, escrow funding, and any gap between price and appraised value.

Move-in work

Locks, safety devices, cleaning, paint, small repairs, utility setup, and basic furnishings if the rental is furnished.

Property reserve

Money for vacancy, repairs, insurance deductibles, and larger replacements. A beginner may target at least three months of full property expenses, while six months provides more room. Your lender may require a different amount.

Personal reserve

Money for your own food, transportation, health needs, and job disruption. Do not let the property consume every dollar you have.

A seller credit may reduce some closing costs. It does not repair a roof or replace income after a layoff.

Finance the property you are actually buying

FHA-insured

ELIGIBLE 1 TO 4 UNIT HOMES

Down payment can be as low as 3.5% in many cases. Mortgage insurance, occupancy, appraisal, property, borrower, and lender rules apply.

VA-backed

FOR ELIGIBLE BORROWERS

VA does not require a down payment or private mortgage insurance, although lenders can impose requirements. The home is for personal occupancy.

Conventional

PROGRAM RULES VARY

Certain owner-occupied 2 to 4 unit properties may use documented rental income. Some programs also address existing ADU income.

Price the same property, occupancy, down payment, and lock period with each lender.

Sources: HUD, VA, Fannie Mae, and Freddie Mac. Program and lender rules can change.

The lender may not count rent the way you do

You might see $1,800 of market rent. An underwriter might use a reduced amount, require an appraisal rent schedule, review existing leases, or limit how income applies because you have little property-management history.

Fannie Mae guidance, for example, generally applies a 75% factor when qualifying rent is based on a lease or appraisal market rent. The balance accounts for vacancy and ongoing maintenance. Its treatment also varies by property type, current housing expense, documentation, and management history. [3]

Freddie Mac guidance permits eligible rental income from units the borrower will not occupy in a two- to four-unit primary residence, with documentation and calculation rules. [4]

Ask each lender:

- Can this property type use owner-occupied financing?
- How much proposed rent can you use to qualify me?
- What appraisal form or lease evidence will you need?
- Does my lack of landlord history change the calculation?
- What reserves, mortgage insurance, and occupancy period apply?
- Are there special rules for three- or four-unit properties or an ADU?

Get the answer for your file, not a general scenario.

Compare offers on the same day

Ask at least three lenders for the same loan features. Put the official Loan Estimates next to one another.

COMPARE	LENDER A	LENDER B	LENDER C
Interest rate	________	________	________
APR	________	________	________
Points / credits	________	________	________
Monthly payment	________	________	________
Mortgage insurance	________	________	________
Cash to close	________	________	________
Five-year cost	________	________	________
Rate locked?	________	________	________

Before closing

Compare the Closing Disclosure with your last Loan Estimate.

Resolve changed terms, fees, and cash-to-close figures before signing.

CFPB: consumerfinance.gov/owning-a-home

SECTION 3

Buy a property that works in real life

A rentable layout is not always a legal unit. A legal unit is not always pleasant to live in. A strong property needs both.

The 15-minute property screen

Before you spend hours analyzing a listing, answer ten questions:

1. Is the advertised use permitted?
2. How many legal units and bedrooms exist?
3. What rent is supported by nearby, comparable rentals?
4. Does each household have a safe entrance and exit?
5. Is there enough parking for the intended use?
6. Are utilities separate, shared, or owner paid?
7. Does the layout give you acceptable privacy?
8. Are taxes, insurance, HOA dues, and flood risk understood?
9. Does the conservative monthly budget fit your income?
10. Do you have cash left after closing?

If the answer to zoning, safety, or affordability is "I am not sure," that becomes a task, not an assumption.

Do not spend emotional energy decorating a property you have not yet screened.

Inspect the expensive parts

A home inspection is broader than an appraisal. Use qualified specialists when the property calls for them.

Pay close attention to:

- Roof age, flashing, drainage, and attic ventilation
- Foundation movement, water entry, grading, and retaining walls
- Electrical service, panel condition, grounding, outlets, and unsafe alterations
- Supply lines, drains, sewer or septic, water heater, and shutoffs
- Heating and cooling age, distribution, and whether each unit can control temperature
- Windows, exterior surfaces, stairs, railings, porches, and decks
- Fire separation, alarms, extinguishers, bedroom egress, and safe exits
- Evidence of pests, mold, moisture, or unpermitted work

For a multifamily property, understand which systems serve which unit. One old boiler can become one large bill. Separate systems can mean more individual components to maintain.

Price known work before the inspection period ends. A vague future renovation budget is not a number.

Verify the use, not the listing language

Call or visit the local planning, zoning, and building departments. Ask how the property is classified now, not what it may have been decades ago.

Collect:

- Certificate of occupancy or local equivalent
- Permit history and open violations
- Zoning designation and permitted number of units
- Rental license or inspection requirements
- Short-term rental rules, if relevant
- Parking, trash, occupancy, and bedroom standards
- HOA or condominium declaration, bylaws, rules, budgets, and meeting minutes

If a property has residents, review leases, amendments, deposits, payment history, notices, and any utility or maintenance agreements. Confirm how deposits transfer at closing under local law.

A seller's statement that "the city has never complained" is not approval. Ask for documents.

Build a rent opinion you can defend

Use comparable rentals that match the unit's location, bedroom and bathroom count, condition, parking, utilities, furnishing, laundry, pet policy, and lease length.

Separate three numbers:

- **Asking rent:** what owners hope to receive
- **Achieved rent:** what signed leases show
- **Collected rent:** what remains after vacancy, concessions, and unpaid amounts

Search current listings, recently leased properties when available, property-manager data, and the appraisal rent schedule. Call a few listings and ask neutral questions about availability and included utilities.

Do not average a luxury renovation with a dated basement unit. Adjust for the differences. Use the lower end of a supportable range in your expected case and go lower again in the stress test.

Write down the date and source for every comp. Rent research gets stale.

From promising listing to owned property

1. Quick screen
2. Tour for the strategy
3. Confirm lender fit
4. Write the offer
5. Inspect
6. Verify use and leases
7. Update real costs
8. Review appraisal
9. Check closing figures
10. Final walk-through

A clean walk-away is still a good result.

New facts should change the decision when the use, safety, or budget no longer works.

You are becoming someone's housing provider

Once you collect rent, you are responsible for more than your own home. Learn your state and local landlord-tenant law before you advertise.

The federal Fair Housing Act prohibits housing discrimination based on race, color, national origin, religion, sex, familial status, and disability. Some owner-occupied properties have narrow federal exemptions, but discriminatory advertising remains prohibited, and state or local law may be stricter. [6]

The safest operating habit is consistency:

- Use written qualification standards that relate to tenancy
- Give applicants the same information and process
- Document objective reasons for decisions
- Follow rules for disability-related accommodation requests
- Avoid language that expresses a preference for a protected group
- Learn local limits on application fees, deposits, notices, entry, late fees, and screening

Do not improvise fair housing rules from memory. A local housing attorney or experienced property manager can review your process before the first advertisement goes live.

Screen for the tenancy, not for friendship

A friendly conversation is useful. It is not a screening system.

Create written criteria before accepting applications. Depending on local law, criteria may address verifiable income, rental history, credit information, occupancy limits, pets, smoking, and relevant background information. Apply the same process consistently and comply with notice and consumer-reporting requirements.

A repeatable workflow is easier to apply fairly:

1. Publish an accurate, non-discriminatory advertisement.
2. Provide the same prescreen information to every inquiry.
3. Offer a completed application under your written policy.
4. Obtain written permission for lawful reports and references.
5. Verify identity, income, and rental history.
6. Evaluate the complete file against the same criteria.
7. Send required approvals, denials, conditional decisions, and adverse-action notices.
8. Sign the lease, collect funds properly, and document condition before move-in.

Use a compliant screening provider and local forms. Do not collect sensitive documents through casual text messages.

Put the arrangement in writing

Use a lease or room-rental agreement designed for your state and situation. Have local counsel review custom terms.

The agreement should clearly cover:

- Parties, premises, term, rent, due date, payment method, and lawful late charges
- Deposit amount, holding, permitted deductions, and return timing
- Utilities and how shared bills are calculated
- Parking, storage, laundry, yard, and common areas
- Guests, pets, smoking, noise, locks, security, and entry
- Repairs, reporting duties, emergencies, and access
- Renewal, notice, termination, and move-out
- Required disclosures and addenda

House rules can address quiet hours, dishes, thermostat settings, cleaning, shared supplies, and overnight guests. Rules should be specific enough to follow and realistic enough to enforce.

Do not rely on a handshake because the resident is a friend. Clear expectations protect the relationship.

Living near your residents without hovering

Proximity is useful. It can also tempt a new owner to treat every noise as an emergency and every hallway conversation as a property-management meeting.

Set communication lanes. Use a written channel for repair requests and payment records. Define what qualifies as an emergency. Give proper notice before entry even if the unit is ten feet away.

If you share a home, talk through quiet hours, kitchen storage, cleaning, parking, thermostat settings, guests, packages, and how to raise a concern. Schedule a short check-in after the first week and first month. That is better than storing small annoyances until they become a fight.

Protect your own space. A locked owner closet, separate pantry shelf, good bedroom door, white-noise machine, and clear guest policy can matter more than decorative upgrades.

Professional does not mean distant. It means predictable.

Build boring systems before the first leak

Keep a property calendar for filter changes, smoke and carbon monoxide alarm testing, gutter cleaning, heating service, pest checks, exterior inspections, lease dates, licenses, and insurance renewals.

Create an emergency sheet with utility shutoffs, electrician, plumber, HVAC service, restoration company, insurer, local emergency numbers, and resident contact information.

Federal law requires disclosures for most sales and leases of pre-1978 housing concerning known lead-based paint and hazards. Landlords must also provide required records, warning language, and the federal lead pamphlet before a covered lease is signed. [7]

Local law may impose additional alarm, fire extinguisher, egress, inspection, habitability, and lead-safety duties. Your insurer may require more.

Report and document water quickly. Small leaks become expensive when they hide behind cabinets or ceilings.

Keep clean records from day one

Rental income generally belongs on the tax return. If you rent part of your home, the IRS generally requires you to divide certain shared expenses between personal and rental use. Direct rental expenses may be fully allocable to the rental portion. Depreciation applies to the qualifying rental part of the building, not the land. [8]

Keep separate records for:

- Rent, deposits, fees, and reimbursements
- Mortgage interest and property taxes
- Insurance and utilities
- Repairs and maintenance
- Improvements and equipment
- Mileage and professional services when applicable
- Dates a unit is available, rented, vacant, or used personally

Repairs and improvements can receive different tax treatment. Depreciation can affect the tax due when you sell. A duplex or separate rental portion can also complicate the home-sale exclusion. [8][9]

Use a dedicated bank account and bookkeeping categories. Ask a tax professional who works with small rental properties how to allocate expenses and handle depreciation before the first return is due.

Your 90-day plan

DAYS 1 TO 15

Readiness

Credit, cash, monthly budget, privacy, and repair tolerance.

DAYS 16 TO 30

Build the team

Three lenders, agent, inspector, insurance, legal, and tax help.

DAYS 31 TO 60

Learn the market

Track rents and sales. Tour. Call zoning. Analyze ten deals.

DAYS 61 TO 90

Set the buy box and act

Write limits. Screen listings. Offer only when the conservative case works.

The first goal is not an offer. It is a buy box you trust.

Property scorecard

Address ______________________________

Date viewed ______________ Asking price ______________

Strategy ______________________________

Score each item from 1 (poor) to 5 (strong).

Legal use and permits	1	2	3	4	5
Rent support	1	2	3	4	5
Privacy and layout	1	2	3	4	5
Parking and access	1	2	3	4	5
Building condition	1	2	3	4	5
Utilities and systems	1	2	3	4	5
Neighborhood rental demand	1	2	3	4	5
Insurance and hazard profile	1	2	3	4	5
Cash remaining after closing	1	2	3	4	5
Stress-tested affordability	1	2	3	4	5

TOTAL

__________ / 50

One-page deal analyzer

Purchase price	________
Down payment and closing cash	________
Immediate repairs and setup	________
Cash remaining after closing	________
Monthly principal and interest	________
Taxes / insurance / MI / HOA	________
Owner-paid utilities	________
Maintenance reserve	________
Capital replacement reserve	________
Vacancy and collection allowance	________
Other monthly costs	________

TOTAL PLANNED OUTFLOW ________

MINUS CONSERVATIVE RENT ________

PLANNED HOUSING COST ________

STRESSED HOUSING COST ________

Largest likely first-year repair ________

Decision pursue / investigate / pass

Sources and next stops

Primary sources checked July 15, 2026. Recheck the rules when you are ready to buy.

1. **HUD: FHA loan basics**
   www.hud.gov/helping-americans/loans
2. **U.S. Department of Veterans Affairs: VA Home Loans**
   www.benefits.va.gov/HOMELOANS/
3. **Fannie Mae Selling Guide B3-3.8-01: Rental Income**
   selling-guide.fanniemae.com/sel/b3-3.8-01/rental-income
4. **Freddie Mac Guide 5306.1: Rental Income**
   guide.freddiemac.com/app/guide/section/5306.1
5. **CFPB: Buying a House and mortgage disclosures**
   www.consumerfinance.gov/owning-a-home/
6. **HUD Housing Counselor Training: Fair Housing Overview**
   hudhousingcounselors.hud.gov/sites/default/files/study_pdfs/Module%203.1_20...
7. **EPA: Lead-Based Paint Disclosure Rule**
   www.epa.gov/lead/lead-based-paint-disclosure-rule-section-1018-title-x
8. **IRS Publication 527: Residential Rental Property**
   www.irs.gov/publications/p527
9. **IRS Publication 523: Selling Your Home**
   www.irs.gov/publications/p523
10. **HUD: Find a housing counselor**
    www.hud.gov/stat/sfh/housing-counseling

Local answers still matter.

Check zoning, permits, landlord-tenant law, insurance, taxes, and lender rules for your file.

Live In, Rent Smart

BY JOSH MOORE

House hacking can lower the cost of owning a home when the property, financing, rental plan, and your day-to-day life fit together.

This guide shows you how to compare strategies, analyze a deal, question a lender, inspect the legal use, plan for repairs, screen residents, and build a 90-day buying plan.

It avoids the usual free-housing pitch and gives you a practical way to decide whether sharing your property could make ownership more comfortable.